

EVG1018 - Elena Vasquez - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer	Elena M. Vasquez (XXX-XX-2741), DOB 08/27/1983
Address	3907 W Bay Vista Ave, Tampa, FL 33611
Filing status	Single
Digital assets question	No
Forms included	1040, Schedules 1, B, D, E, Form 7203, Form 8082, Form 8995; statements
State	None - Florida has no individual income tax
Extension	Form 4868 accepted 04/13/2026 (\$2,000 paid); return e-filed 09/15/2026
Filing method	E-file (Form 8879 signed 09/14/2026); refund direct deposit Suncoast CU ****0917

Key figures	Amount
Total income (1040 line 9)	172,800
Adjusted gross income (line 11)	165,000
Deduction (line 12e) - Standard	15,750
QBI deduction (line 13a)	14,840
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	134,410
Total tax (line 24)	24,960
Total payments (line 33)	26,200
REFUND (line 35a)	1,240

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	90,000
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	90,000
2a	Tax-exempt interest	0
2b	Taxable interest	1,780
3a	Qualified dividends	1,620
3b	Ordinary dividends	2,020
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	(3,000)
8	Additional income from Schedule 1, line 10	82,000
9	Total income	172,800
10	Adjustments to income from Schedule 1, line 26	7,800
11	Adjusted gross income	165,000
12e	Standard deduction or itemized deductions (Standard)	15,750
13a	Qualified business income deduction (Form 8995/8995-A)	14,840
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	30,590
15	Taxable income	134,410
16	Tax	24,960
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	24,960
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	0
22	Subtract line 21 from line 18	24,960
23	Other taxes, including self-employment tax, from Schedule 2, line 21	0
24	Total tax	24,960
25a	Federal income tax withheld - Form(s) W-2	11,400
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	11,400
26	2025 estimated tax payments and amount applied from 2024 return	12,800
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	2,000
32	Total other payments and refundable credits	2,000
33	Total payments	26,200
34	Amount overpaid	1,240
35a	Refund	1,240
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Bayline Marine Services, Inc. (K-1 box 4)	1,150
1.2	Rosa M. Delgado Trust u/a/d 05/14/2009 (K-1 box 1)	420
1.3	Suncoast Credit Union	210
2	Total interest	1,780
4	Taxable interest (to Form 1040, line 2b)	1,780
5.1	Rosa M. Delgado Trust u/a/d 05/14/2009 (K-1 box 2a)	1,380
5.2	National Financial Services (Fidelity)	640
6	Ordinary dividends (to Form 1040, line 3b)	2,020
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Schedule D

Line	Description	Amount
7	Net short-term capital gain or (loss)	0
14	Long-term capital loss carryover - final Schedule K-1 (Form 1041) box 11 code E (trust terminated 2025)	(3,200)
15	Net long-term capital gain or (loss)	(3,200)
16	Combine lines 7 and 15	(3,200)
21	Allowable capital loss	(3,000)

Schedule 1

Line	Description	Amount
5	Rental real estate, royalties, partnerships, S corps, trusts - Schedule E	82,000
10	Additional income (to Form 1040, line 8)	82,000
17	Self-employed health insurance deduction	7,800
26	Total adjustments to income (to Form 1040, line 10)	7,800

Itemized vs. standard comparison (Schedule A not filed)

Line	Description	Amount
1	Medical and dental expenses	0

Line	Description	Amount
3	7.5% of AGI	12,375
4	Deductible medical	0
5a	State and local income taxes	0
5b	State and local real estate taxes	3,920
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	3,920
5e	Smaller of line 5d or SALT limit (\$40,000 after MAGI phase-down)	3,920
7	Total taxes	3,920
8a	Home mortgage interest and points reported on Form 1098	6,180
8e	Add lines 8a through 8c	6,180
10	Total interest	6,180
11	Gifts by cash or check	2,900
12	Other than by cash or check	0
14	Total gifts to charity	2,900
17	Total itemized deductions	13,000

Form 8995

Line	Description	Amount
Bayline Marine Services, Inc. (below threshold: 20% x QBI)		14,840
limit	20% x (taxable income before QBI 149,250 - net capital gain & qualified dividends 1,620)	29,526
deduction	Qualified business income deduction	14,840

Schedule 3

Line	Description	Amount
10	Amount paid with request for extension to file (Form 4868)	2,000
15	Total other payments and refundable credits (to Form 1040, line 31)	2,000

Form 7203 - S corporation shareholder stock and debt basis

Form 7203 - Bayline Marine Services, Inc. (EIN 00-3318842) - Part I Stock basis	Amount
1 Stock basis at beginning of year (2024 Form 7203)	95,000
3a Ordinary business income - K-1 box 1 as issued	62,000
3a Ordinary business income - IRC 311(b) gain on truck omitted from K-1 (Form 8082)	20,000
3b Interest income (box 4)	1,150
4 Total increases	83,150
5 Stock basis before distributions	178,150
6 Distributions: cash 40,000 + truck at FMV 32,000 (IRC 301(b)) - not NBV 12,000	72,000
7 Stock basis after distributions (no excess -> no capital gain)	106,150
8a Nondeductible expenses (box 16C)	1,900
10 Stock basis before losses and deductions	104,250

Form 7203 - Bayline Marine Services, Inc. (EIN 00-3318842) - Part I Stock basis	Amount
Part III - charitable contributions (box 12A) - allowed (basis sufficient)	2,500
15 Stock basis at end of year	101,750
Part II Debt basis	0

Form 8082 - inconsistent treatment

Form 8082 - Notice of Inconsistent Treatment (S corporation)	As shown on K-1	Reported on return	Difference
Box 1 ordinary business income	62,000	82,000	20,000
Box 16D distributions (property at FMV)	52,000	72,000	20,000
Explanation: S corp distributed a truck (FMV \$32,000, adjusted basis \$12,000, accumulated depreciation \$33,000) to its 100% shareholder on 08/29/2025. IRC 311(b)/1371(a) require the corporation to recognize \$20,000 gain, all ordinary under IRC 1245. K-1 omitted the gain and reported the distribution at book value. Corporation's preparer has agreed to amend (email 09/02/2026).			

Schedule E Part II

Schedule E Part II	Passive/nonpassive	Nonpassive income (line 28k)
Bayline Marine Services, Inc. (S corp, EIN 00-3318842) - material participation, basis sufficient, at-risk not applicable	Nonpassive	82,000

Form 8995 - QBI support

Form 8995 support	Amount
K-1 box 1 as issued (Statement A QBI)	62,000
+ IRC 311(b) gain - IRC 1245 ordinary recapture (trade or business income, is QBI)	20,000
- 2% shareholder health insurance deduction attributable to the business (Reg. 1.199A-3(b)(1)(vi))	(7,800)
= QBI	74,200
W-2 wages / UBI (not limiting - taxable income below \$197,300 threshold)	310,000 / 180,000

Standard vs itemized

Comparison	Amount
Standard deduction (single)	15,750
Itemized: mortgage 6,180 + real estate tax 3,920 + charity 2,900 (incl. K-1 box 12A)	13,000

Comparison	Amount
Even adding FL general sales tax (~1,500 table amount), itemized < standard	

Trust termination - basis of distributed condo

Trust termination worksheet - Rosa M. Delgado Trust u/a/d 05/14/2009 (final K-1)	Amount
Trust's adjusted basis in condo immediately before distribution (DOD FMV 240,000 - depreciation 17,454)	222,546
+ Suspended passive losses allocable to the condo - IRC 469(j)(12) (NOT deductible by beneficiary or trust)	18,400
= Elena's basis in condo (carryover basis, IRC 643(e); holding period tacks)	240,946
Land: 48,000 + 3,969 of the 469(j)(12) increase (pro rata to adjusted basis)	51,969
Building: carryover 174,546 (continue trust's 27.5-yr recovery) + 14,431 increase (new 27.5-yr asset when placed in service 2026)	188,977
2025 Schedule E for condo	None - not held out for rent until 2026
Box 11 code E - long-term capital loss carryover (Schedule D line 14, 2025 = year of termination)	3,200